

11 June 2026

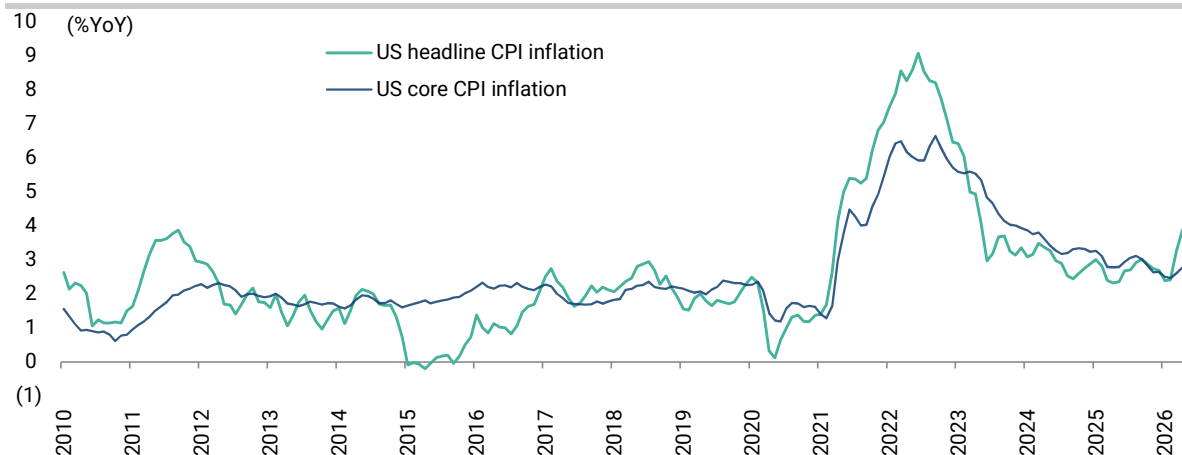
Bond pressures and AI resets

Singapore

Financial markets remain set up for a test of the new Federal Reserve chairman following the release of the latest CPI data. Headline CPI inflation rose from 3.8% YoY in April to 4.2% YoY in May, which is in line with consensus estimates, while core CPI inflation rose from 2.8% YoY to 2.9% YoY (see Exhibit 1). Energy CPI surged by 23.5% YoY in May, the highest level since August 2022. Inflation has now been above the official 2% target in the US for more than five years.

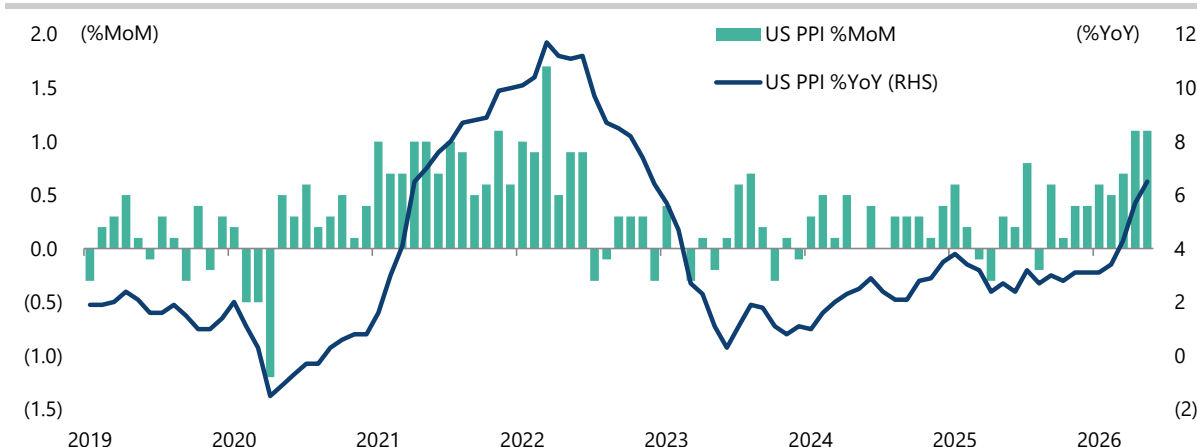
While it is true that AI should turn out to be disinflationary, it will surely be hard for Kevin Warsh to look completely through the rising price pressures stemming from tariffs and, more importantly, the Iran conflict, most particularly as the Strait of Hormuz remains closed. These pressures are, of course, best reflected in PPI which rose by 6.5% YoY in May compared with consensus estimates of 6.4% (see Exhibit 2).

Exhibit 1: US CPI inflation



Source: Bureau of Labor Statistics

Exhibit 2: US PPI inflation



Source: Bureau of Labor Statistics

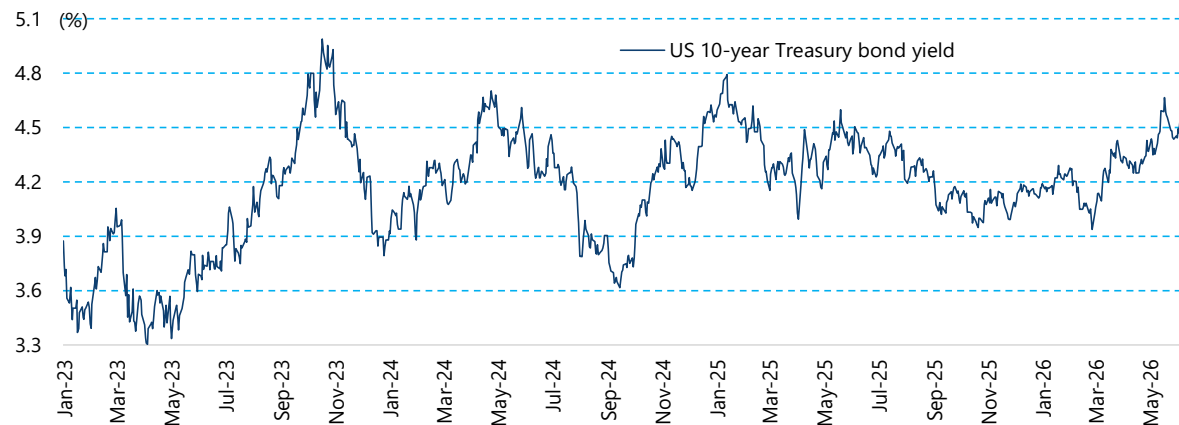
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Still if Warsh does attempt to adopt such a stance, in line with his op-ed in the *Wall Street Journal* article last November arguing that the AI story justifies rate cuts (see *WSJ* article: “*The Federal Reserve’s Broken Leadership*” by Kevin Warsh, 16 November 2025), the obvious risk is that the long end of the bond market sells off, as it has already begun to do. The 10-year Treasury bond yield has risen from a recent low of 3.92% on 2 March to 4.52% (see Exhibit 3).

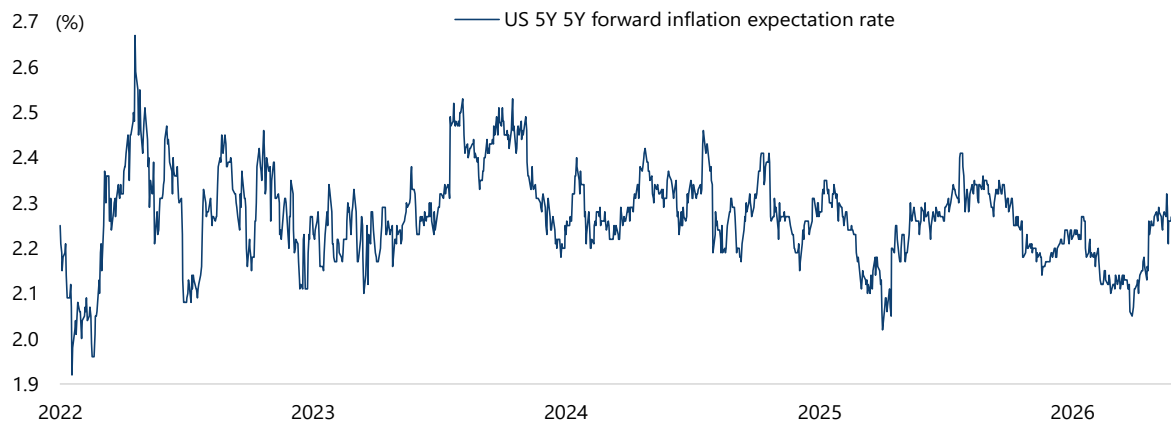
GREED & fear continues to view the 10-year Treasury bond yield as the most important price in world markets. How it behaves is more important than what the new Fed Chairman says or the FOMC does. A clear break above the 4.5% level should be viewed by equity investors as a warning signal, more akin to a yellow signal at a traffic light, but nothing more disastrous given the for now continuing powerful earnings momentum in the US driven by the AI capex cycle. But a more decisive move above 5% would be more like a red traffic light. It would also make it hard for the Fed to avoid renewed tightening even allowing for the favoured argument of the doves, namely that inflation expectations remain well anchored. The 5-year 5-year forward inflation expectation rate is now 2.24%, down from a recent high of 2.67% in April 2022, though up from 2.05% in late March (see Exhibit 4). Personally, *GREED & fear* has always viewed modern central bankers’ obsession with inflation expectations as hocus pocus. But they are important to monitor because central bankers think they are important.

Exhibit 3: US 10-year Treasury bond yield



Source: Bloomberg

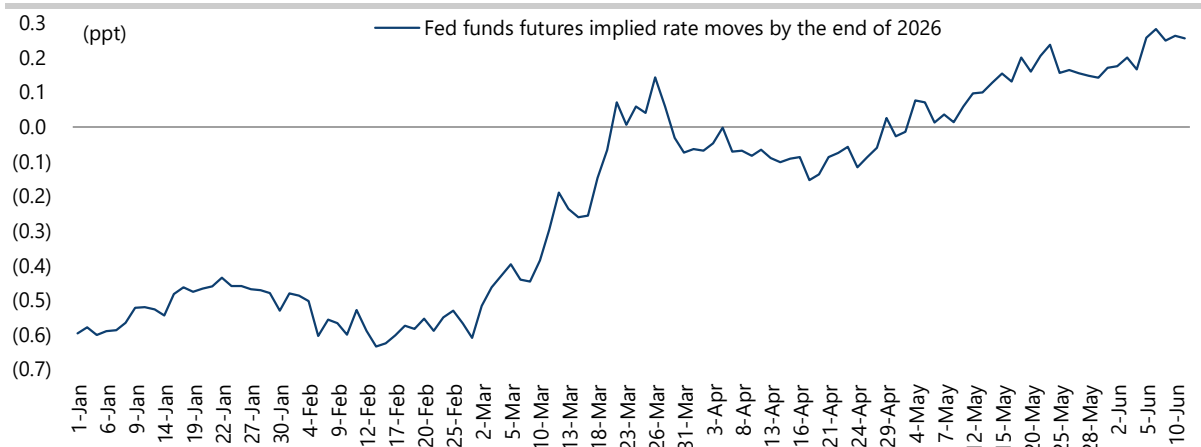
Exhibit 4: US 5-year 5-year forward inflation expectation rate



Source: Federal Reserve Bank of St. Louis

Higher Treasury bond yields and anticipated renewed Fed tightening, with money markets now expecting 26bp of rate hikes this year compared with 61bp of easing as recently as late February (see Exhibit 5), may well have triggered a short term bid for the dollar. In fact the US dollar index is up 4.6% since late January (see Exhibit 6). But sooner rather than later higher yields will become dollar bearish because markets will refocus on America's fiscal position which in turn will lead to renewed focus on the US dollar debasement trade.

Exhibit 5: Fed funds futures implied rate moves by the end of 2026



Source: Bloomberg

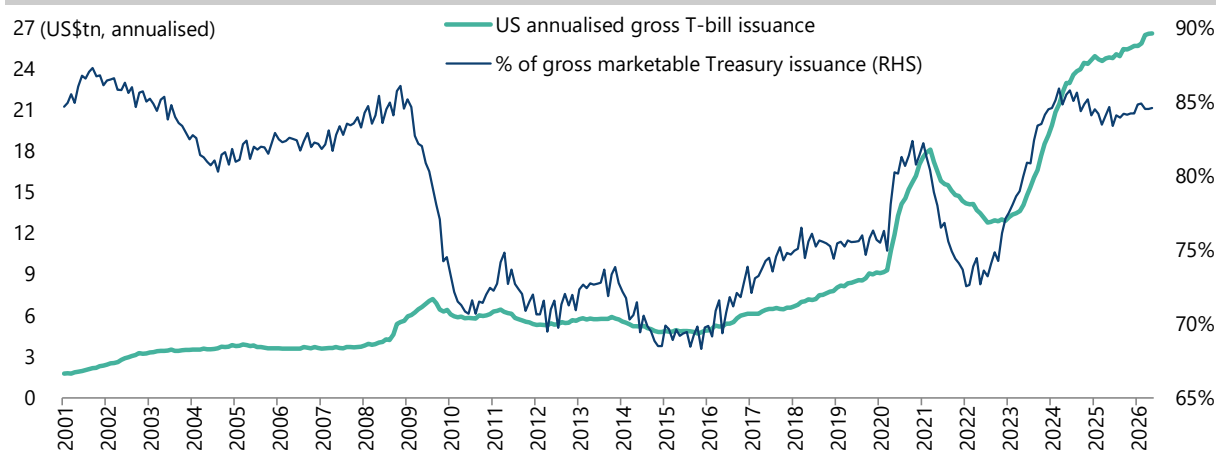
Exhibit 6: US dollar index



Source: Bloomberg

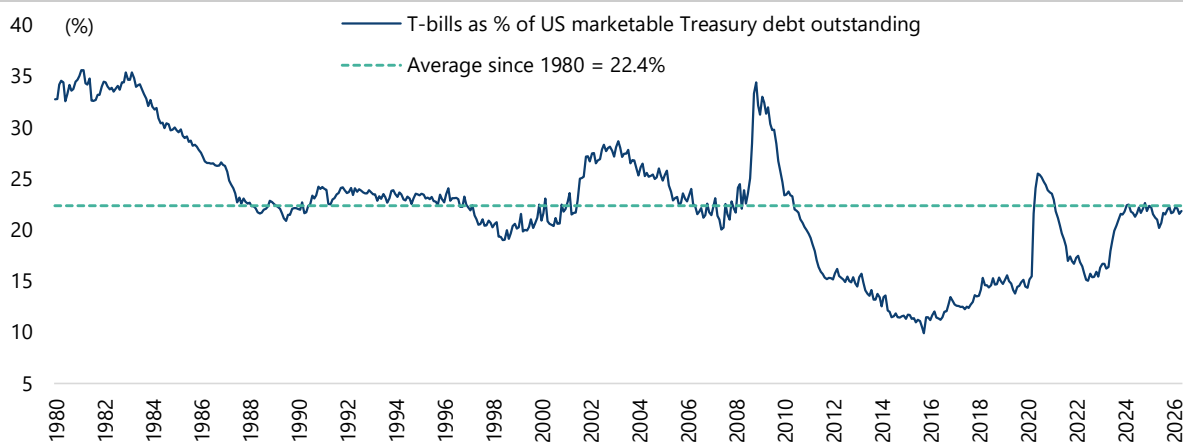
In this respect, it needs to be remembered that the main reason for Donald Trump's rhetorical pressure on former Fed chairman Jerome Powell to cut rates was to get the cost of debt servicing down. This matters since 84.6% of gross marketable Treasury issuance in the 12 months to May were Treasury bills with below one-year maturity (see Exhibit 7). Meanwhile if that is the flow number, Treasury bills, defined as those with maturity up to one-year, comprised 21.9% of total marketable Treasury debt outstanding at the end of May, up from 15.1% in mid-2022 and almost in line with the long-term historical average of 22.4% since 1980 (see Exhibit 8).

Exhibit 7: US gross Treasury bill issuance as % of total gross marketable Treasury issuance (annualised)



Source: Bloomberg, SIFMA, US Treasury

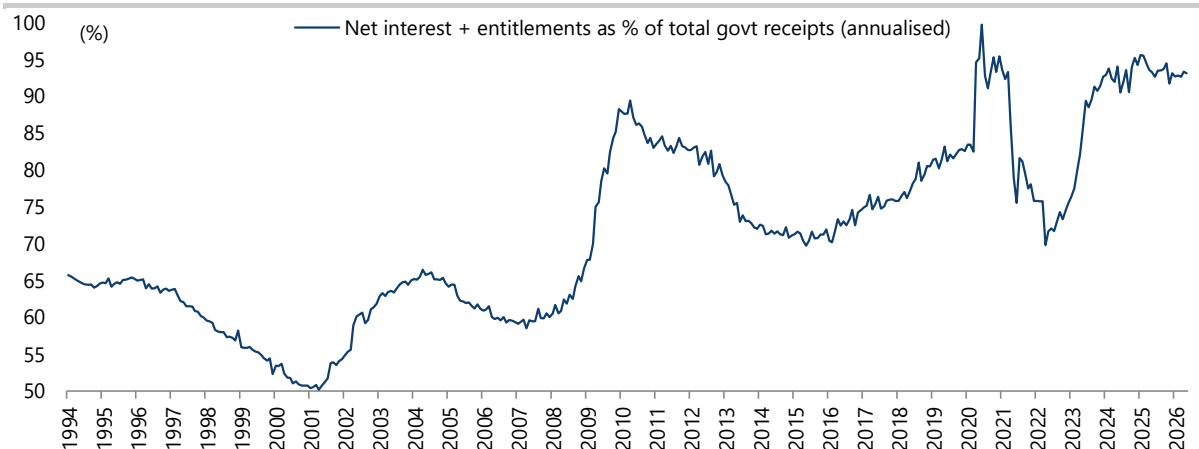
Exhibit 8: T-bills as % of US marketable Treasury debt outstanding



Source: Bureau of Fiscal Service, US Treasury

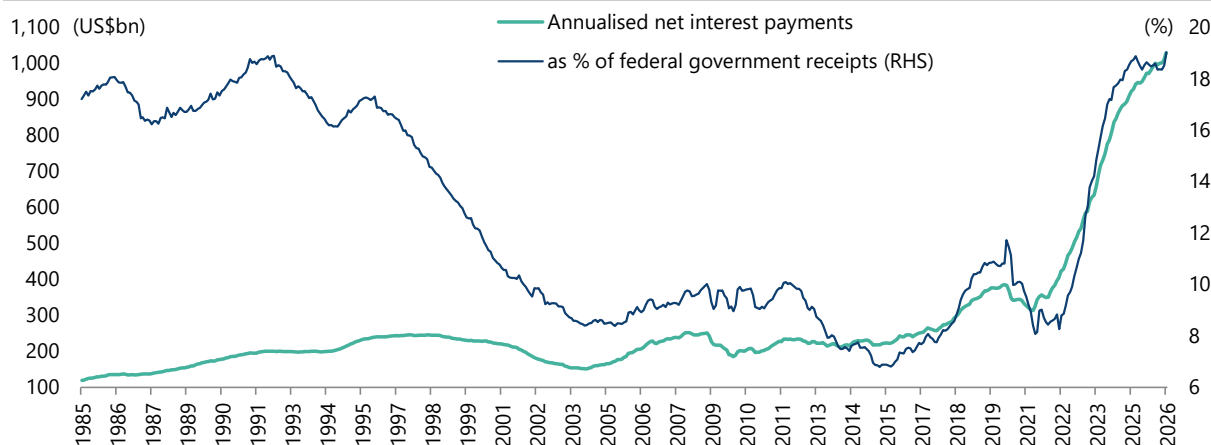
Another point, as regards America's fiscal situation, is the lack of any meaningful improvement despite the benefit of the surge in tariff revenues over the past year, though those revenues are now declining. Interest payments and entitlements still accounted for 93.1% of total government receipts in the 12 months to May, not far below the peak of 95.6% reached in the 12 months to January 2025 (see Exhibit 9). Indeed annualised net interest payments rose to a record US\$1.03tn or 19.0% of total government receipts in the 12 months to May (see Exhibit 10). As for tariffs revenues, they peaked at US\$31.35bn in October 2025 and an annualised US\$324bn in the 12 months to April. But they have declined to a negative US\$42m in May as the US Treasury refunded US\$21.97bn in tariff revenues previously collected which were declared illegal by the Supreme Court in February (see Exhibit 11). This has more than offset gross tariff collections of US\$21.93bn in May. Meanwhile, the inability of the US to cut spending has again been underlined by Donald Trump's proposal to increase defence spending to US\$1.5tn for FY27 beginning 1 October.

Exhibit 9: US net interest and entitlements as % of total federal government receipts (annualised)



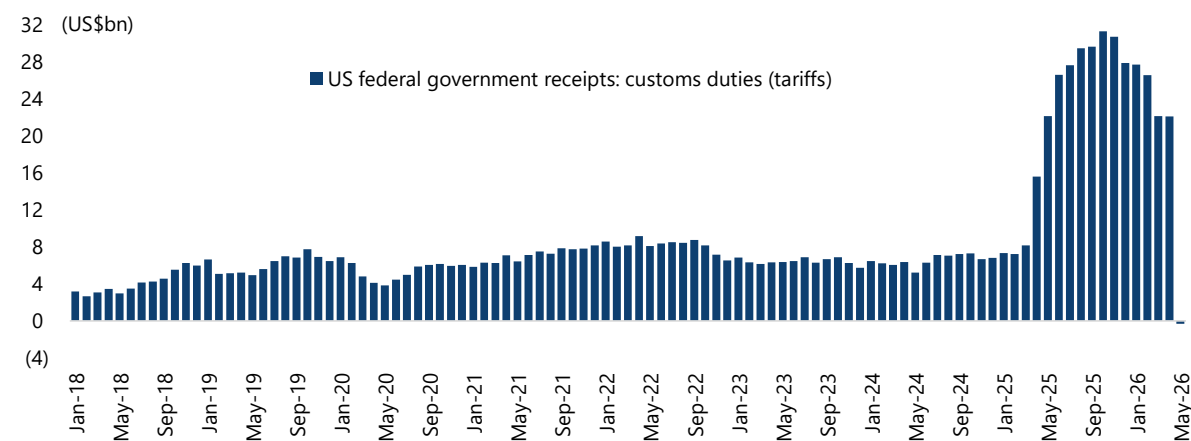
Note: Entitlements = Social security, Medicare, health spending and veterans' benefits. Source: Bureau of Fiscal Service, Bloomberg

Exhibit 10: US annualised net interest payments as % of federal government receipts



Source: Bureau of Fiscal Service, Bloomberg

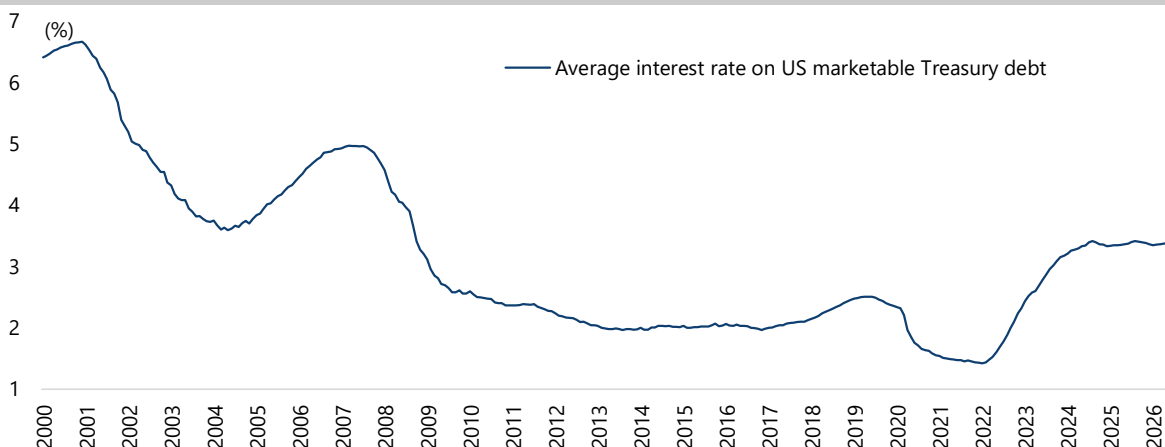
Exhibit 11: US federal government receipts: customs duties (tariffs)



Source: Bureau of Fiscal Service, Bloomberg

A return to rising rates and rising yields, in the context of a continuing lack of restraint on spending, raises the interesting hypothetical question of when the US will be borrowing mainly to service the debt it has already occurred. This point requires further investigation. Meanwhile, it is worth recording that the average interest rate on US marketable Treasury debt has risen from 1.424% in January 2022 to 3.386% in May 2026 (see Exhibit 12).

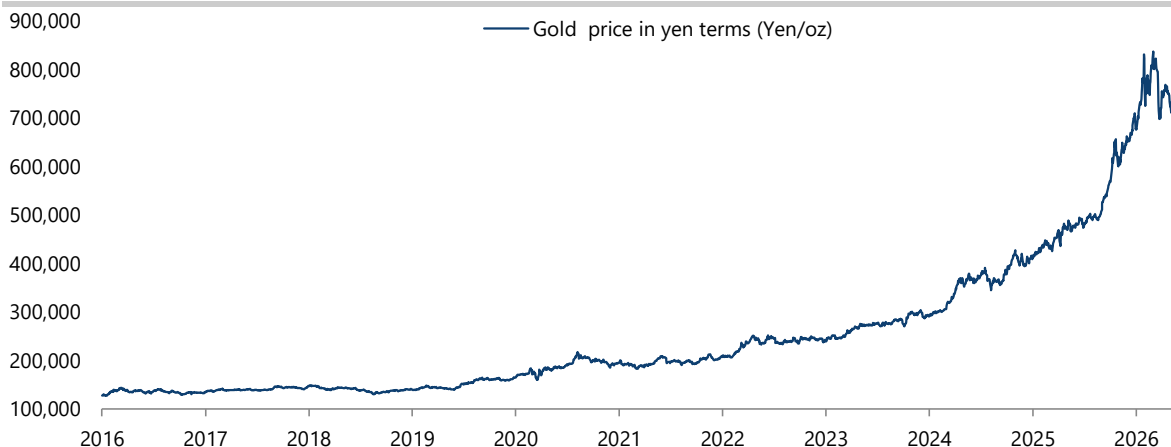
Exhibit 12: Average interest rate on US marketable Treasury debt



Source: Bloomberg, Bureau of Fiscal Service

If the above is an interesting exercise, *GREED & fear*'s base case remains what it has always been, namely that the US will resort to more explicit *dirigiste* policies of fiscal repression long before this becomes the case, of which the most explicit will be yield curve control. Such policies will be dollar bearish and gold bullish, just as YCC has been yen bearish and gold bullish in Japan in terms of the rise in the price of gold in yen terms (see Exhibit 13). Meanwhile, the growing fashion for *dirigiste* central planning in the US is reflected in the talk in the Trump administration of taking equity stakes in AI companies. When it comes to state directed capitalism, *GREED & fear*'s view is simple. China does it much better while America's competitive advantage is free markets and animal spirits.

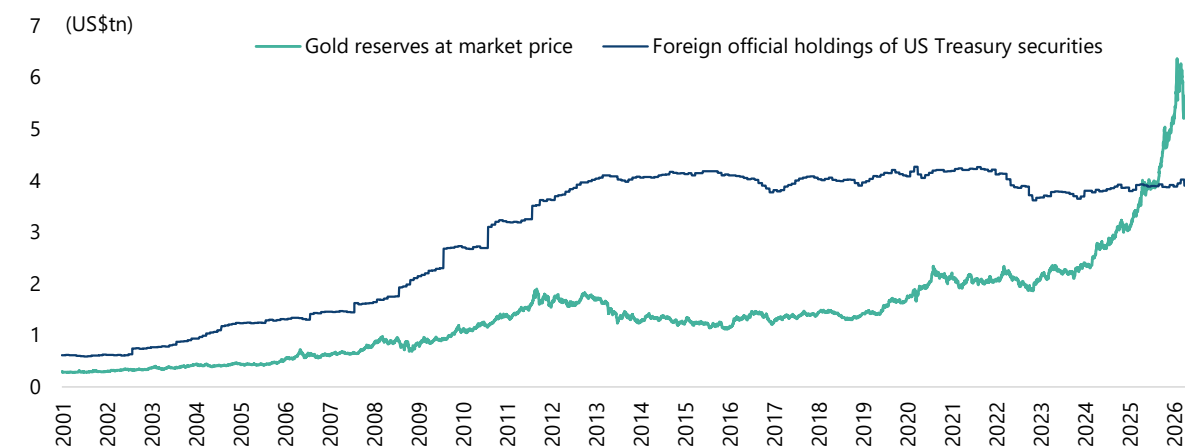
Exhibit 13: Gold price in yen terms



Source: Bloomberg

The above view on the likelihood of growing financial repression is based on *GREED & fear*'s base case, namely that the US will not be willing to take the pain that would bring the public finance back to health, and which would lead to a sustainable rally in Treasury bonds and the US dollar and a bear market in gold. True, Warsh has stated that he wants to shrink the Fed's balance sheet meaningfully, which is a noble ambition. But *GREED & fear* will only believe that on concrete evidence of such a policy being enacted and *GREED & fear*'s guess is that most people in the markets have a similar view. It is true that an explicit move to yield curve control would further damage the US dollar's diminishing status. But that process is already well under way since the world at large has already moved to a *de facto* gold standard as central banks continue to own more gold than Treasury bonds even after gold's recent fall (see Exhibit 14). And gold is certainly vulnerable in the near term in the face of rising Fed tightening expectations and rising bond yields. *GREED & fear* continues to view the bottom end of the current trading range at US\$3,800-4,000 which is another way of saying investors should look to add to gold stocks at those levels. The gold price is now US\$4,070/oz.

Exhibit 14: Gold reserves at market price and foreign official holdings of US Treasuries

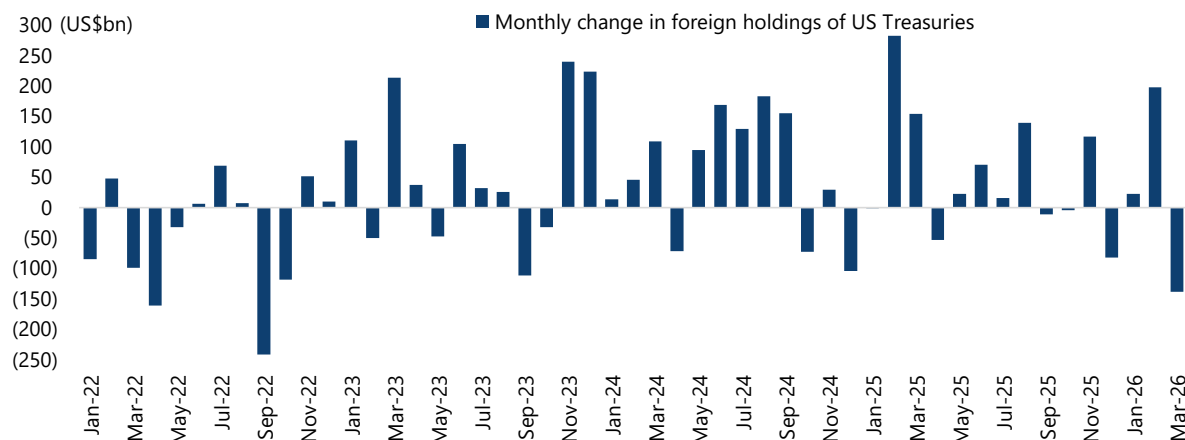


Source: Bloomberg, US Treasury, World Gold Council, IMF

Speaking of foreigners selling Treasury bonds the month of March saw large foreign selling, a month which was dominated by risk aversion stemming from the US attack on Iran on 28 February. Thus, foreign holdings of US Treasuries declined by US\$138.4bn in March, the biggest monthly decline since September 2022 (see Exhibit 15). This is interesting since historically investors bought Treasury bonds on a so-called "flight to quality". This dynamic is, in *GREED & fear*'s view, yesterday's story. On this point, it is worth reminding investors again of the US's net international investment position (NIIP) and the extent to which it is dependent on foreign capital. But that capital will remain happy to be invested in US equities as opposed to Treasury bonds, so long as it is celebrating the AI capex boom as opposed to worrying about the returns, or the lack of them, on that investment. The US NIIP deficit has surged from US\$7.8tn or 39.9% of GDP at the end of 2017 to a record US\$27.5tn or 89.5% of GDP at the end of 2025, having been in deficit since 1989 (see Exhibit 16). This data point measures the difference between US residents' foreign financial assets and foreigners' holdings of US assets.

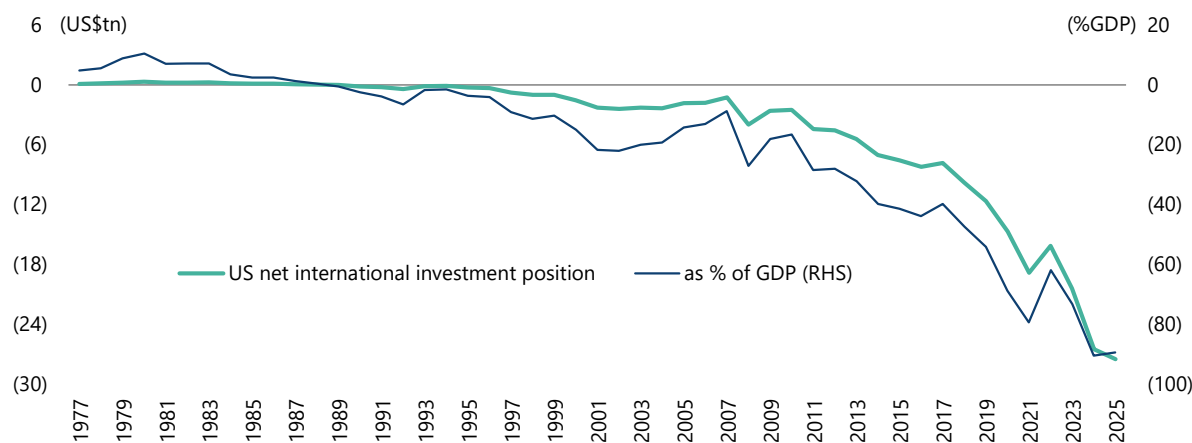
Japan's NIIP position is almost the mirror opposite of America's. That is why macro talking heads have liked for many years to discuss the theoretical possibility of a dramatic repatriation of Japanese capital which could have tidal wave consequences for global markets, most particularly US markets. Japan's NIIP surplus has risen from Y329tn or 58.3% of GDP at the end of 2017 to a record Y562tn or 84.7% of GDP at the end of 2025 and was Y560tn or 83.7% of GDP at the end of 1Q26 (see Exhibit 17).

Exhibit 15: Monthly change in foreign holdings of US Treasuries



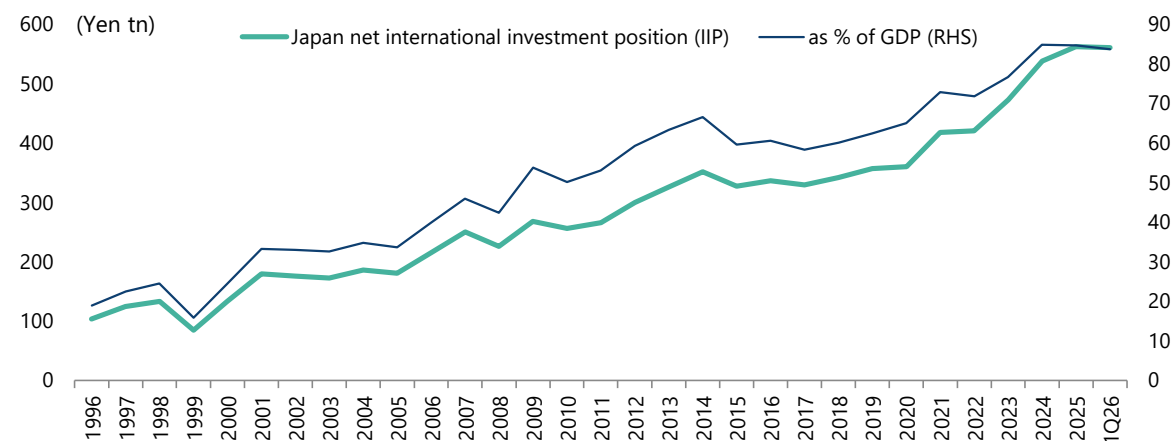
Source: US Treasury

Exhibit 16: US net international investment position



Source: Bureau of Economic Analysis

Exhibit 17: Japan net international investment position as % of GDP



Source: Ministry of Finance

GREED & fear has not gone about this topic in the past because of the sheer inertia and passivity of Japanese capital, as reflected in the fact that domestic institutional Japan has still not reallocated out of yen fixed income into Japanese equities. Still when this move comes it can be dramatic as the major institutions will likely all move at the same time. In *GREED & fear's* view that re-allocation is approaching in terms of Japanese equities, as previously discussed here (see [GREED & fear - "Constructive stability" and bond breakouts](#), 21 May 2026). This is because the evidence of rising inflation is becoming almost impossible to ignore, be it big banks' loan growth running at 8.7% YoY in May (see Exhibit 18) or, unlike in America, a clear pickup in inflation expectations in Japan. The Japan 10-year breakeven inflation rate has risen from a negative 0.33% in March 2020 to 2.24% today (see Exhibit 19).

Exhibit 18: Japan bank loan growth: Major banks

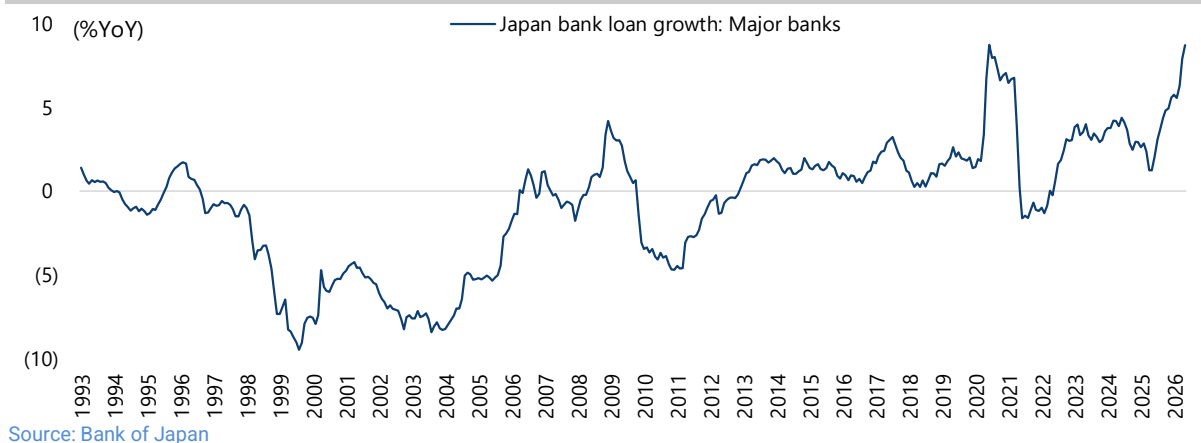
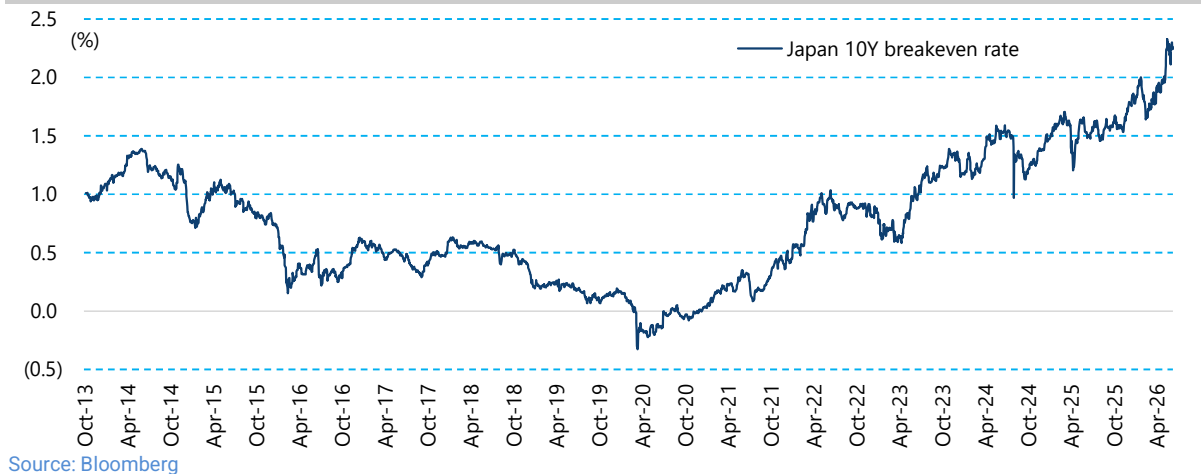
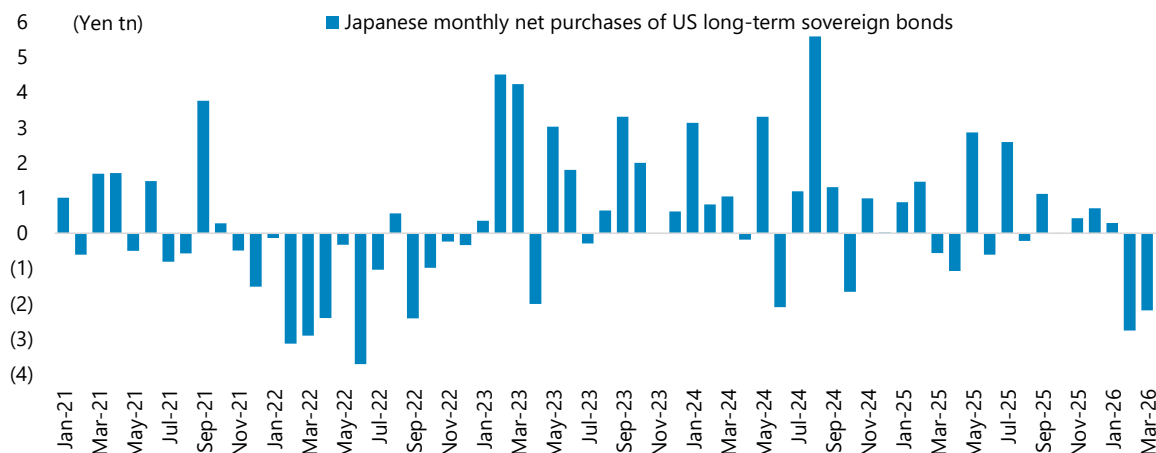


Exhibit 19: Japan 10-year breakeven rate



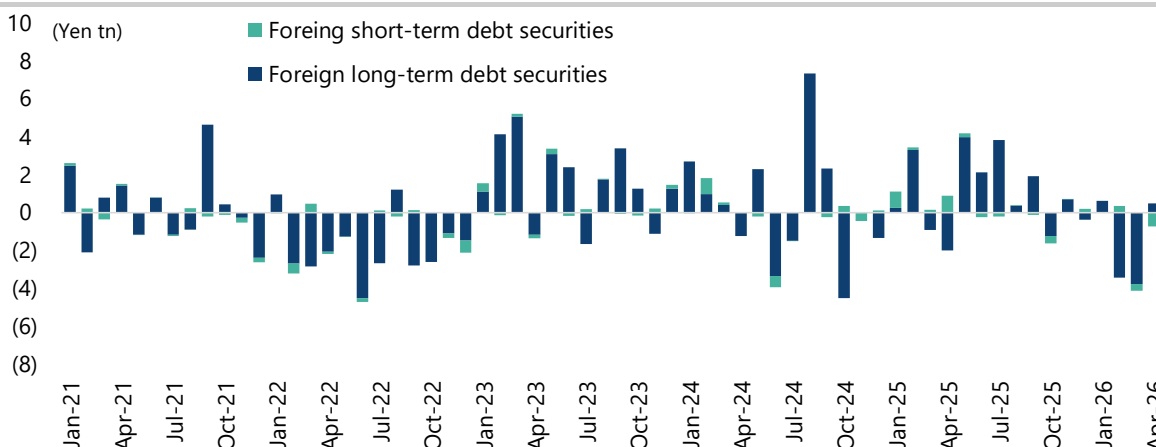
If a move out of yen fixed income into Japanese equities is one allocation switch to watch out for, another on the repatriation theme is out of foreign bonds into domestic yen fixed income as the yields on JGBs, courtesy of the steepening yield curve, are increasingly attractive relative to currency hedged foreign bond yields. On this point, it is worth noting again that in recent months there is growing evidence of Japanese selling of Treasury bonds and overseas fixed income in general. Thus, the Ministry of Finance data shows that Japanese residents sold a net Y4.97tn worth of US Treasury bonds between February-March, though they bought a net Y351bn in April (see Exhibit 20). While in aggregate Japanese residents sold a net Y7.4tn of foreign debt securities between February-April though they bought a net Y2.9tn in May (see Exhibit 21).

Exhibit 20: Japanese monthly net purchases of US long-term Treasury bonds



Note: Data up to April 2026. Source: Ministry of Finance, Bloomberg

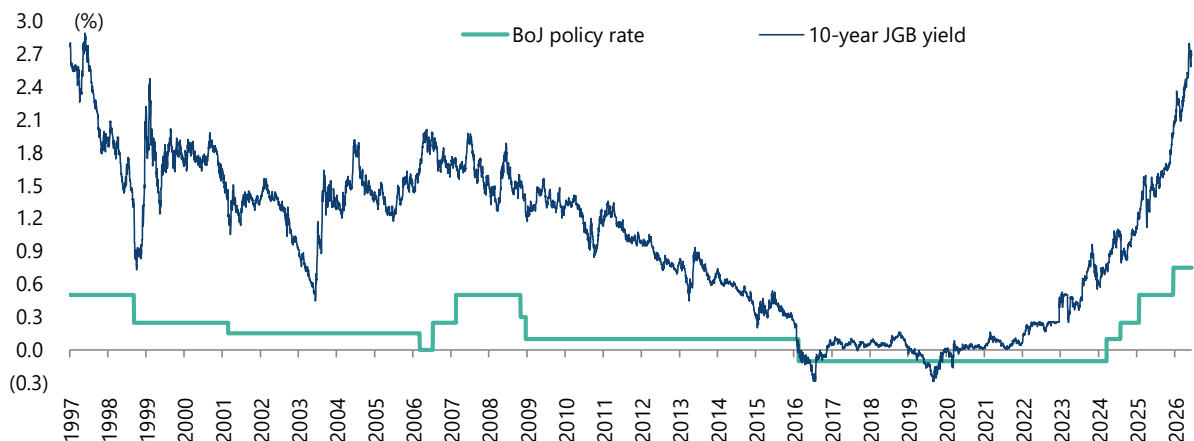
Exhibit 21: Japanese net buying of foreign debt securities



Note: Data up to May 2026. Source: Ministry of Finance

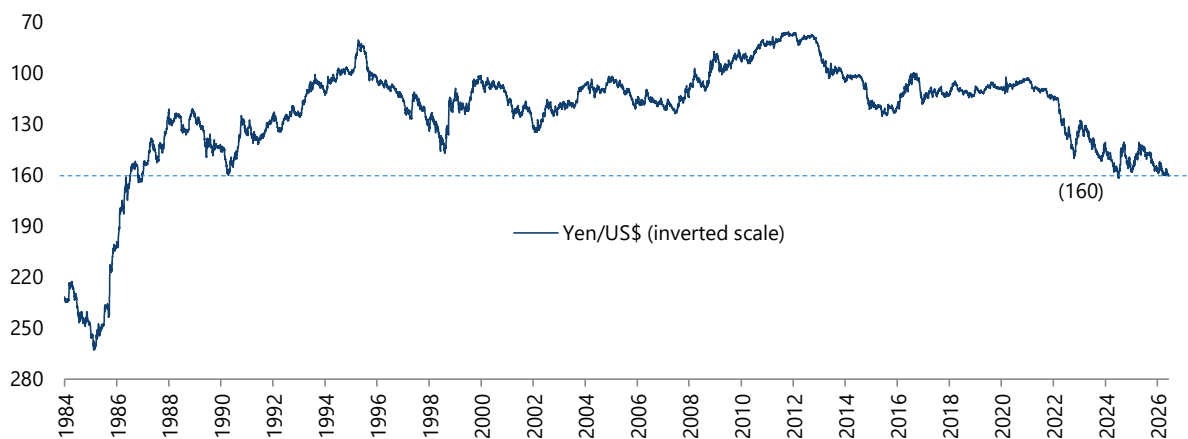
As for the yen, the fixed income market has been sending the clear message that BoJ Governor Kazuo Ueda should tighten more at the forthcoming policy meeting on 16 June than the currently discounted 25bp since the currency is again hovering on the key 160 support level (see Exhibits 22 and 23). Ueda was doubtless hoping that renewed Fed easing would take the pressure off him in terms of a more proactive normalisation of monetary policy. But that now looks much less likely, which means the pressure is on the hyper cautious BoJ governor; though the word is that for medical reasons the coming BoJ meeting will be chaired by his deputy Ryozyo Himino while another deputy, Shinichi Uchida, will host the post-meeting press conference.

Exhibit 22: Bank of Japan policy rate and 10-year JGB yield



Source: Bloomberg, Bank of Japan

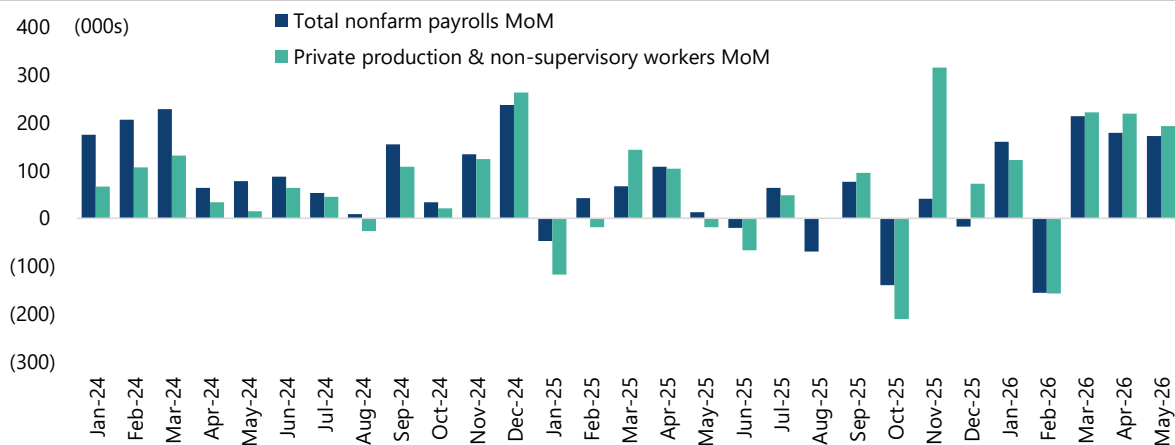
Exhibit 23: Yen/US\$ (inverted scale)



Source: Bloomberg

If the inflation data is one trigger for the pickup in tightening expectations, last week's US labour data has also, undoubtedly, played a supporting role. *GREED & fear* is wary of making major macro calls based only on the payroll data because of the dubious methodology employed in compiling this data series with the track record of massive revisions. It is also the case that, while the US labour market shows no evidence of collapsing, a look at some of the details in the latest report suggests it is not quite as robust as the initial headlines suggest. US nonfarm payrolls increased by 172,000 in May compared with consensus expectations of 88,000, while the increase in the past two months was revised up by 93,000. As a result, nonfarm payrolls have increased by 565,000 jobs over the past three months, with 499,000 in private-sector jobs. But private production and nonsupervisory workers, which account for 82% of the total private-sector jobs, increased by 634,000 over the same period, many of them only hourly paid jobs (see Exhibit 24).

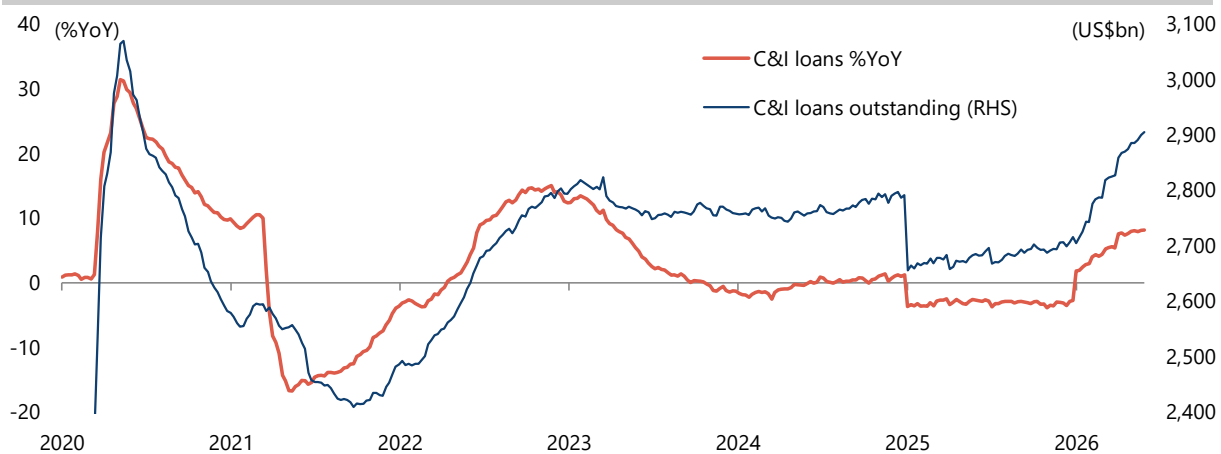
Exhibit 24: Monthly increase in US nonfarm payrolls



Source: Bureau of Labor Statistics

Meanwhile, from a pro-cyclical standpoint, it is worth noting that US commercial banks' commercial and industrial (C&I) loan growth has begun to turn up in recent months, a trend which should probably be viewed in the context of the Trump administration's deregulation efforts as regards the banks and the still accelerating AI capex boom. Thus, US commercial banks' C&I loans rose by 8.2% YoY in the week ended 27 May, the highest growth rate since April 2023 (see Exhibit 25).

Exhibit 25: US commercial banks' C&I loans



Note: Data up to the week ended 27 May 2026. Source: Federal Reserve

Returning to the topical subject of AI, *GREED & fear* discussed the current hot issue of tokenmaxxing two weeks ago (see [GREED & fear – The joys and costs of tokenmaxxing](#), 28 May 2026). The latest evidence of American corporates' sudden reaction against the surging costs of their employees' experimentation with AI tools is that China's DeepSeek suddenly returned to the top spot on a major business spending index in June (see *South China Morning Post* article: "More US firms turn to China's DeepSeek over pricey Silicon Valley AI", 4 June 2026).

Fueling the demand for its open source model, DeepSeek also announced a permanent 75% price cut for its latest flagship so-called V4 Pro model on 23 May (see *South China Morning Post* article: “DeepSeek V4 Pro tops global bang-for-buck ranking after 75% price cut”, 24 May 2026). *GREED & fear*’s base case remains that the case for the monetisation of large language models in the personal market remains unproven while, as regards the corporate market, a new survey of 951 companies globally by Bain & Co. has again demonstrated that investment in AI is not yet generating the savings hoped for (see Bain report: “Your AI Budget Is Growing. Your Returns Aren’t. Here’s Why”, 1 June 2026). The survey found that nearly 40% of companies which measured AI cost savings landed below 10%, despite targeting 11-20%, yet 90% are increasing their budgets again.

The degree to which portfolios are now concentrated around the AI theme was brought home to *GREED & fear* by ongoing discussions with Singapore-based fund managers this week, most of them focused on regional markets. One such manager had conducted a survey of 16 listed funds in the same peer group. Fifteen of those funds all had the same three stocks as their biggest holdings, namely TSMC, Samsung Electronics and Hynix. Only one fund had only two of those names as their top holdings with the other one being the out-of-favour Alibaba. This is in a context where the tech sector accounts for 47.6% of the Asia ex-Japan universe and 42.1% of the Asia Pacific ex-Japan universe (i.e. including Australia) as of Wednesday.

If this does not come as a huge surprise to *GREED & fear*, what has been a pleasant surprise is the performance of *GREED & fear*’s own long-only portfolio so far this quarter since *GREED & fear* had certainly not allocated 40% to the technology sector at the start of this quarter. On this point *GREED & fear* is not in the habit of checking the performance on a daily basis but given the one way AI trade of late, in terms of the concentration of performance on AI themes, *GREED & fear* was amazed to discover the performance is almost in line with the index so far this quarter even though *GREED & fear* has only 20% in total allocated to four stocks in Korea and Taiwan in terms of the 22 stocks in the concentrated portfolio. The portfolio has risen by 19.4% so far this quarter in US dollar terms on a total-return basis, compared with a 23.1% gain in the MSCI AC Asia ex-Japan index, with the four Korean and Taiwan stocks contributing 17.6 percentage points of the gain (see Exhibit 26). As a result, the combined weighting of the four stocks is now 30.8% of the portfolio.

This offers some consolation for now given the underperformance of this portfolio last quarter and indeed last year primarily because of too much exposure to India, though the long-term performance of this portfolio since inception at the end of 3Q02 remains for now an annualised 17.6% in US dollar terms on a total-return basis. The portfolio declined by 8.8% last quarter compared with a 1.1% decline in the MSCI AC Asia ex-Japan Index, while it rose by 14.5% last year when the regional benchmark was up 33%.

Exhibit 26: Asia ex-Japan long-only portfolio quarter-to-date performance

% in USD total-return basis	26 Mar	31 Mar	As of 10 June	contribution	10 June
	% weight	% weight	%QTD	ppt	% weight
MediaTek	5.0	4.8	181.4	8.7	11.3
Samsung Electronics	5.0	4.7	81.7	3.8	7.2
Samsung Life Insurance	5.0	4.8	75.6	3.6	7.0
TSMC	5.0	4.9	29.3	1.4	5.3
Lodha Developers	4.0	3.8	26.8	1.0	4.0
JSW Energy	4.0	3.9	18.8	0.7	3.9
GMR Airports	4.0	3.8	18.6	0.7	3.8
Rio Tinto (AU)	4.0	4.4	14.6	0.6	4.2
HSBC	4.0	4.1	8.2	0.3	3.7
Capricorn Metals	6.0	6.4	7.2	0.5	5.7
PolicyBazaar (PB Fintech)	4.0	4.0	5.3	0.2	3.5
Zomato / Eternal	4.0	3.8	4.3	0.2	3.4
JD.com	4.0	4.1	2.6	0.1	3.5
CATL	6.0	6.1	0.1	0.0	5.2
HK Exchanges	4.0	4.1	(1.4)	(0.1)	3.4
Tencent	5.0	5.0	(2.6)	(0.1)	4.1
SBI Life Insurance	4.0	3.9	(3.2)	(0.1)	3.2
Alibaba (HK)	5.0	5.0	(3.7)	(0.2)	4.0
PetroChina H	5.0	5.1	(5.5)	(0.3)	4.0
Sun Hung Kai Properties	4.0	4.1	(10.0)	(0.4)	3.1
Zijin Mining (H)	5.0	5.2	(12.2)	(0.6)	3.8
BYD	4.0	4.2	(18.1)	(0.8)	2.9
TOTAL portfolio	100.0	100.0	19.4	19.4	100.0
MSCI AC Asia ex-Japan			23.1		

Note: The portfolio was last reset on 26 March, but %QTD performance is calculated using the implied 31 March weights as the base.

Source: Jefferies, MSCI, FactSet, Datastream

This raises the issue of how to change the portfolio now. Given the extreme one way positioning, the threat of higher interest rates, the aggressive positioning of retail investors in leveraged ETFs and the potential for the pending mega IPOs to suck liquidity out of the recent winners, all *GREED & fear's* instincts are that the risks have increased significantly for a near-term major reset in the AI trade in terms of a correction, if not yet the end of the story. This is despite the fact that there is no evidence whatsoever that AI capex is slowing. In this context last Friday's rout triggered by the US employment data could be a dress rehearsal for a more protracted down move.

The renewed attempt to rally this week was clearly helped by Jensen Huang's announcement on Sunday that he has signed a multi-year partnership with Hynix. In this respect, Huang has now become the pied piper of the AI trade in terms of his penchant for touting individual stocks. For such reasons *GREED & fear* would still advise investors to take some money off the top in terms of the concentration of positioning discussed above. Still *GREED & fear* is not going to do that in the Asia ex-Japan long-only portfolio precisely because it is already so underweight tech. Meanwhile in the Asia Pacific ex-Japan relative-return portfolio for more benchmark orientated investors, *GREED & fear* now has a 41% weighting in Taiwan and Korea, compared with the current benchmark weighting of 48%. From the standard point of history this is a very high allocation to both countries, though *GREED & fear* is still underweight by 4.2 and 2.6 percentage points respectively in Taiwan and Korea based on the current weightings (see Exhibit 27).

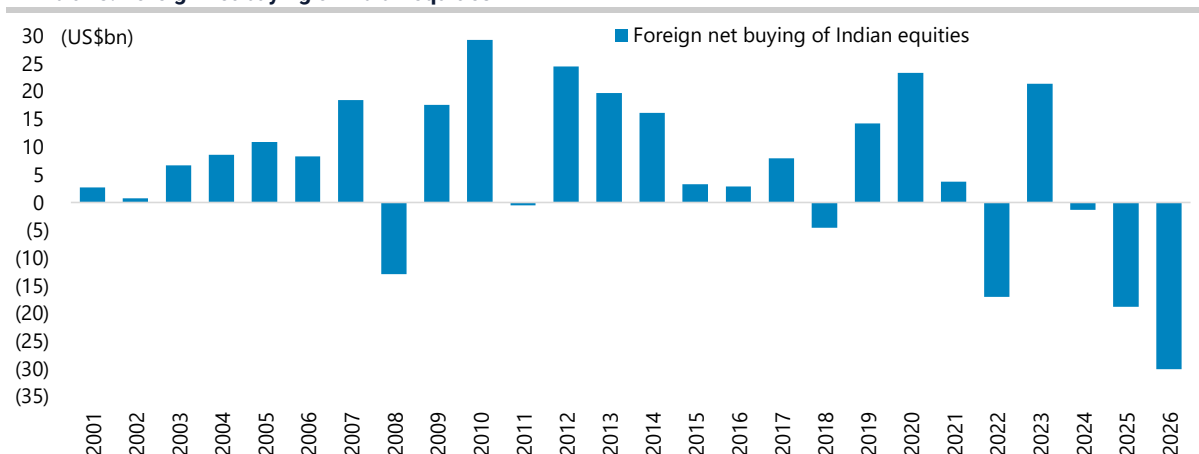
GREED & fear has not felt comfortable of late chasing these soaring neutral weightings ever higher. Still the reality is that most long-only fund managers will remain extremely reluctant to cut exposure to the hot AI area on the view that it is too risky professionally to try and call the top. Meanwhile regional and emerging market investors have now sold a record net US\$30.1bn of Indian stocks year to date primarily to fund flows into Taiwan and Korea (see Exhibit 28).

Exhibit 27: Asia Pacific ex-Japan asset allocation (relative-return portfolio)

(%)	MSCI AC Asia Pacific ex-Japan weightings 6-May-26	Recommended weightings 7-May-26	Mismatch from benchmark (ppt)	Current MSCI benchmark weightings (10-June-26)	Projected portfolio weight (current)	Current mismatch (ppt)
Australia	11.7	7.0	(4.7)	11.5	6.8	(4.7)
China	21.9	27.0	5.1	20.7	25.9	5.2
Hong Kong	3.5	6.0	2.5	3.1	5.4	2.3
India	11.4	12.0	0.6	10.9	11.8	0.9
Indonesia	0.7	1.0	0.3	0.5	0.8	0.4
Korea	20.4	18.0	(2.4)	21.7	19.1	(2.6)
Malaysia	1.1	1.0	(0.1)	0.9	1.0	0.0
New Zealand	0.3	0.0	(0.3)	0.3	0.0	(0.3)
Philippines	0.3	1.0	0.7	0.3	1.0	0.8
Singapore	2.8	3.0	0.2	2.8	3.1	0.3
Taiwan	24.8	21.0	(3.8)	26.3	22.0	(4.2)
Thailand	1.0	1.0	0.0	1.0	1.1	0.1
Vietnam	--	2.0	2.0	--	2.0	2.0
Total	100.0	100.0	--	100.0	100.0	--

Source: MSCI, Jefferies, FactSet, Datastream

Exhibit 28: Foreign net buying of Indian equities



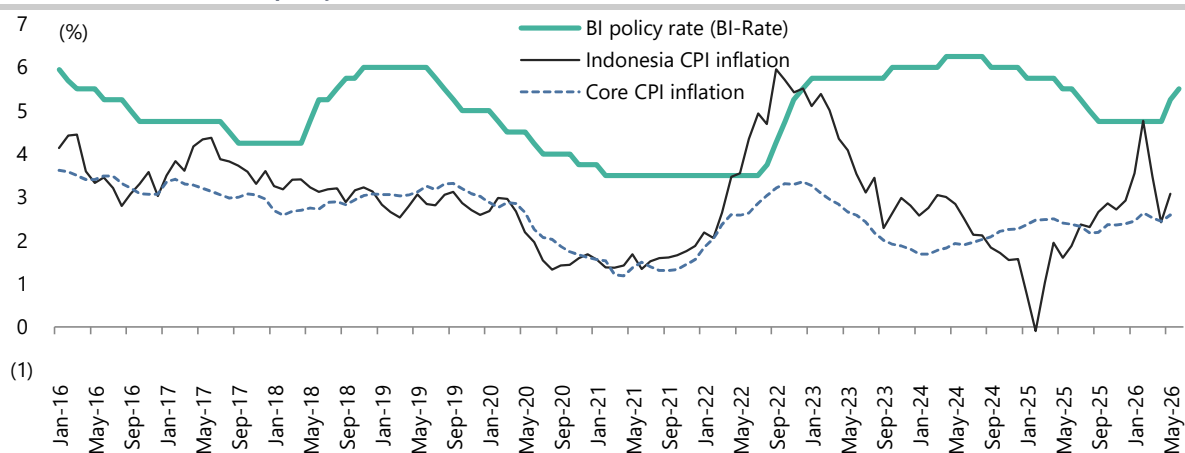
Note: Data up to 10 June 2026. Source: Bloomberg, SEBI

If positioning is heavily concentrated in AI-related names, Singapore is traditionally a place where investors are focused at least to some extent on Asean markets, and most notably the biggest such market in that region which has in recent years been Indonesia. Yet this week it has been hard to find a fund manager who admits to owning a stock in Indonesia. GREED & fear has discussed before the various policies of the current Indonesia government which have dramatically undermined the confidence of the private sector in Indonesia as well as equity investors, be it forcing companies to buy so-called "patriot bonds" yielding about 2% or putting pressure on state-owned banks to finance so-called village cooperatives (see [GREED & fear - Indonesia and performance tally](#), 2 January 2026).

On the latter point, the government aims to establish 80,000 such cooperatives with full operational facilities by mid-2026. As of 16 May, 1,061 such facilities are fully operational with 9,000 more “physically ready”, with 30,000 targeted for full operation by August (see *Antara News* article: “President Prabowo inaugurates 1,061 Red and White Village Cooperatives”, 16 May 2026). These are but two of several policies which have served to undermine business confidence. Still the most dramatic example of late, and perhaps the most important given Indonesia’s role as a major commodity producer, is the so-called “export through one door” policy announced on 20 May. This requires exporters of strategic natural resource commodities, such as crude palm oil, coal and ferroalloys, to sell to a newly created state-owned entity Danantara Sumberdaya Indonesia (DSI) which will pay them in rupiah. So the government-related body will receive dollars. The transition period began 1 June with full implementation expected at the start of 2027.

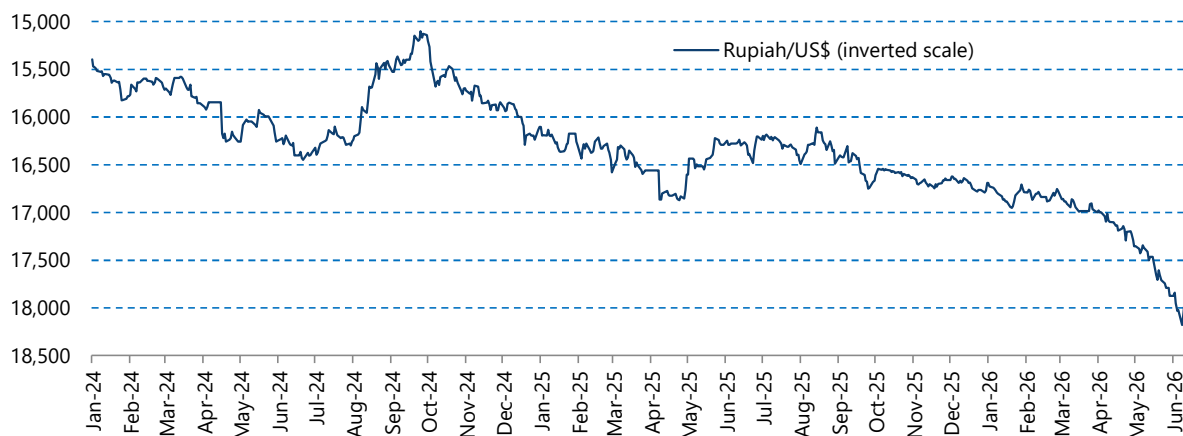
This latest policy has highlighted the government’s growing need for dollars and has also served to draw attention to the escalating currency risk with the rupiah having of late broken through the key psychological Rp18,000/US\$ level, though it rebounded back above that level marginally on Wednesday following an inter-meeting central bank rate hike triggered by currency weakness. Bank Indonesia raised the policy BI-rate by 25bp to a still comparatively low 5.5%, following a 50bp rate hike in a scheduled meeting on 20 May. As for inflation, CPI inflation rose from 2.4% YoY in April to 3.1% in May, with core inflation rising from 2.4% to 2.6% YoY over the same period (see Exhibit 29). The rupiah is now down 7.2% year to date against the US dollar after a 3.5% decline last year (see Exhibit 30).

Exhibit 29: Bank Indonesia policy rate and CPI inflation



Source: CEIC Data, Bank Indonesia

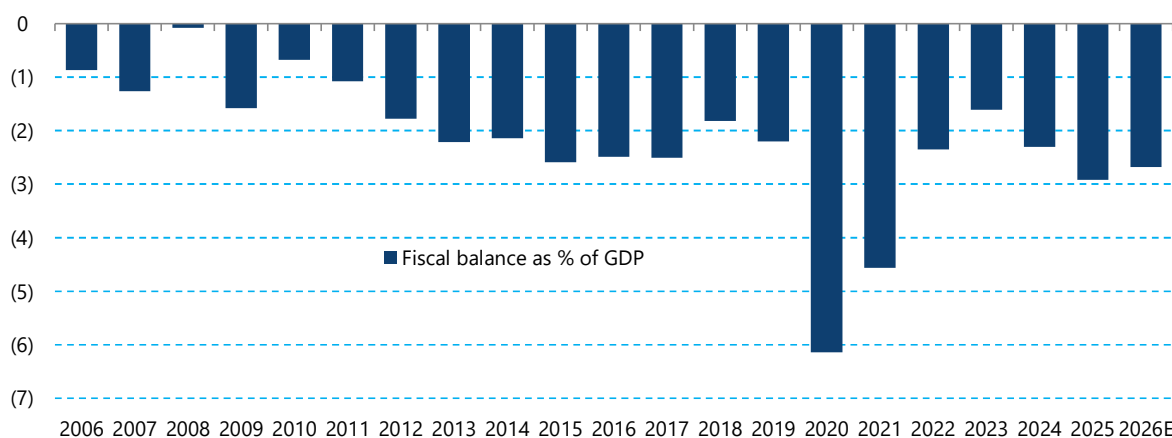
Exhibit 30: Indonesian rupiah/US\$ (inverted scale)



Source: Bloomberg

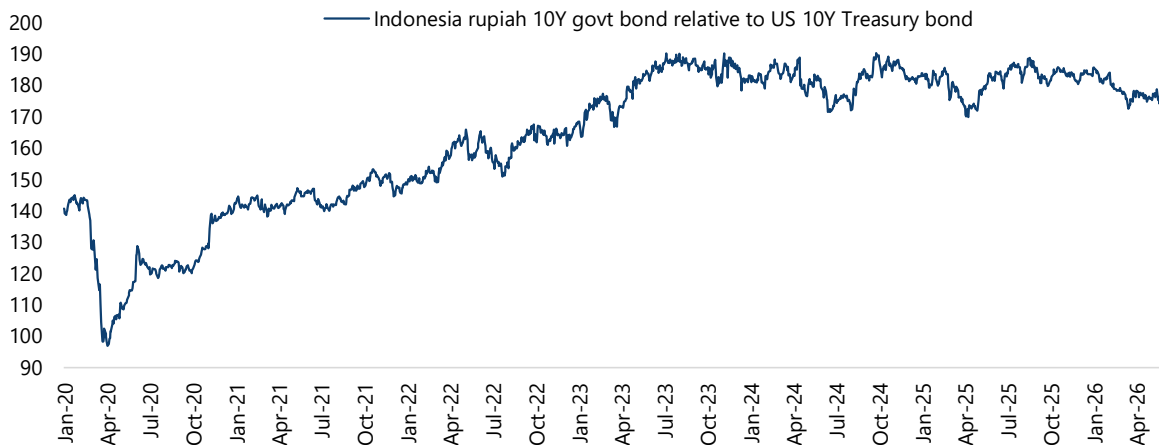
The basic macro indicators for Indonesia are not yet looking scary because of the extended period of fiscal conservatism under former finance minister Sri Mulyani Indrawati during whose more than 13 years in tenure (including 4.5 years between 2005-2010 under Susilo Bambang Yudhoyono) Indonesia conformed to a self-imposed 3% fiscal deficit limit (see Exhibit 31). Reflecting this the ten-year Indonesian local currency government bond outperformed the US dollar 10-year Treasury bond by 84% in US dollar terms between early April 2020 and mid-May 2026 reflecting ultra orthodoxy policy compared with what was going on in the G7 world (see Exhibit 32).

Exhibit 31: Indonesia fiscal deficit as % of GDP



Note: 2026 Budget estimate. Source: Ministry of Finance, CEIC Data

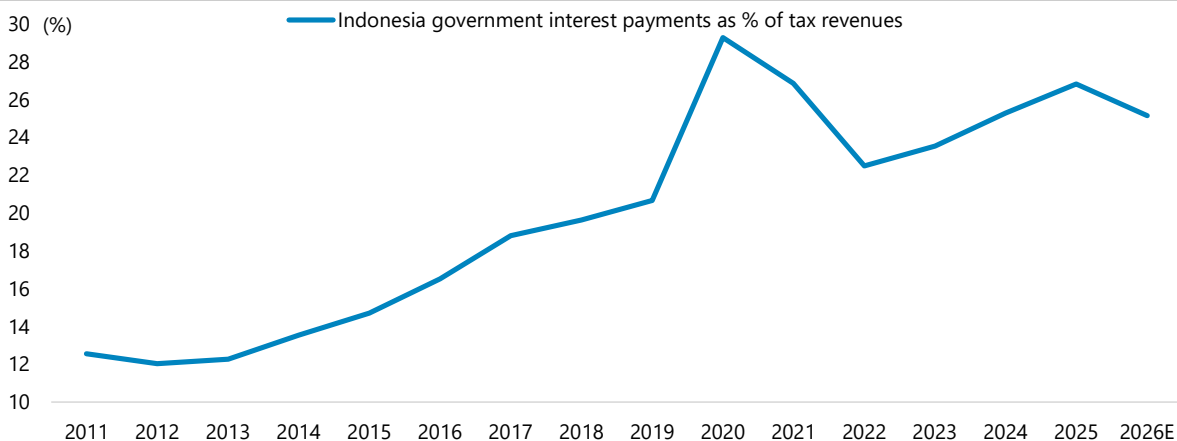
Exhibit 32: Indonesia rupiah 10Y govt bond relative to US 10Y Treasury bond



Note: Based on total-return performance in US dollar terms. Source: Datastream, Jefferies

Indonesia government debt to GDP is still only 40.8% of GDP though tax revenues are only 10% of GDP. But if the fiscal deficit is still only projected by the government at 2.7% of GDP this year, the direction of travel is for a sharp deterioration in sovereign fundamentals driven by accelerating government spending which is why the credit rating agencies have put the country “on watch” with a negative outlook. Indonesia has been rated investment grade by all three major credit rating agencies since 2017. One example of deterioration is the rising debt servicing ratio in terms of interest payments as a percentage of domestic tax revenues. This was running around 12% of tax revenues in early 2010s but it rose to 27% last year and is projected to be 25% this year based on official estimates (see Exhibit 33).

Exhibit 33: Indonesia government interest payments as % of domestic tax revenues



Note: Realised amount up to 2025 and Budget estimate for 2026. Source: Ministry of Finance, CEIC Data

Mulyani's tenure as finance minister was finally ended in early September last year or less than 11 months after Prabowo Subianto became president in October 2024. But during her period as finance minister in the new government she had to squeeze spending to pay for Prabowo's two high profile populist schemes, one of which is the already mentioned village coops and the other is the so-called Free Nutritious Meal Programme where 83m school children are meant to receive protein-filled free lunches. This began with an estimated cost of Rp335tn (US\$18.8bn) this year but it has since been cut to Rp268tn (US\$15bn) because of budget constraints. The programme has been ensnared in controversy of late with the former chief of the National Nutrition Agency arrested on bribery corruption charges last week while there has reportedly been an estimated 37,270 cases of food poisoning as of May (see *Financial Times* article: "Crisis engulfs one of world's biggest free school meals programmes", 6 June 2026).

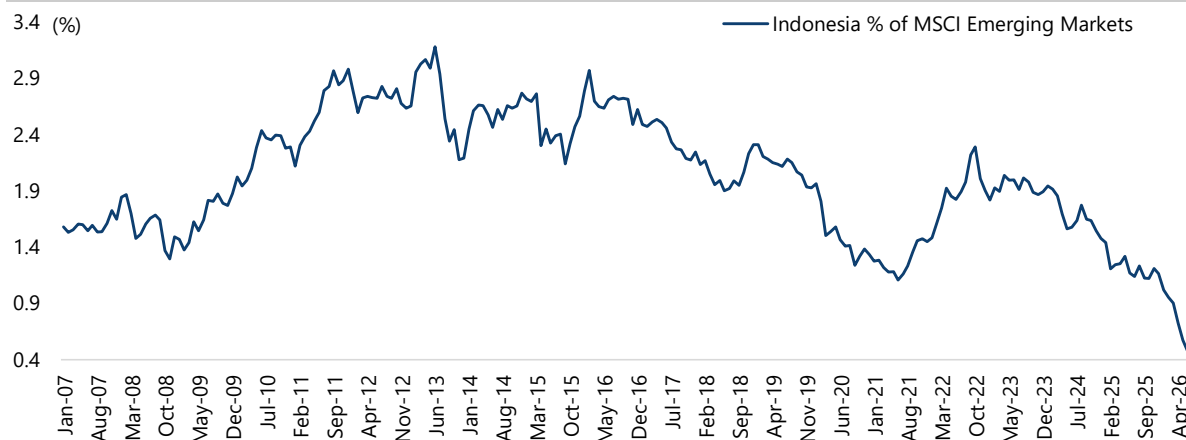
An added problem for the finance ministry is that all 889 state-owned enterprises in Indonesia were moved into the state-owned sovereign wealth fund Danantara set up in February 2025, which means the finance ministry no longer receives the dividends from these SOEs which were an estimated Rp114tn (US\$7bn) last year. *GREED & fear* now hears that Danantara could be interested in buying quoted companies whose valuations have collapsed of late. The Jakarta Composite's 12-month forward PE has declined from 14.3x in January to 7.9x on Monday and is now 8.7x (see Exhibit 34). Meanwhile, the dramatic decline in the capitalisation of the stock market, combined with the weakness of the rupiah, means that Indonesia's neutral weighting in the MSCI Emerging Markets Index is now only 0.47% whereas as recently as June 2013 it was 3.2% (see Exhibit 35). Foreign ownership of Indonesian stocks has declined from 55% in June 2017 to 41% in May 2026 (see Exhibit 36).

Exhibit 34: Jakarta Composite 12-month forward PE



Note: Dotted lines denote mean and +/-1s.d. Source: Bloomberg, Jefferies

Exhibit 35: Indonesia's weighting in MSCI Emerging Markets



Source: MSCI, FactSet

Exhibit 36: Foreign ownership of Indonesian stocks



Source: KSEI, Mandiri Sekuritas

The impact of the populist programmes can be seen in the first quarter GDP data where real government consumption grew by 21.8% YoY, accounting for 1.3ppt or 22% of the reported real GDP growth of 5.6% YoY. This means private consumption, investment and net exports only contributed to 4.4ppt of the growth. That does not seem so healthy. But perhaps the most compelling evidence of the deterioration in the operating environment for private businesses in Indonesia was an extraordinarily frank letter to President Prabowo by the China Chamber of Commerce in Indonesia, with the title "Letter Requesting Improvement of the Business Environment" (see *The Straits Times* article: "Letter lays bare growing Chinese investor unease over Indonesia's business climate", 14 May 2026). Written on behalf of "all Chinese-invested enterprises in Indonesia", the document reportedly referred to recent policies issued by relevant Indonesian authorities lacking stability and continuity. Of the many concerns raised in this document, perhaps the most important was the following, to quote from the document direct: "Taxes and fees, including mineral resource royalties, have been raised repeatedly". Chinese foreign direct investment in Indonesia has been significant in recent years, most particularly during the presidency of Jokowi when there was a massive increase in nickel production capacity. On that point, the same document referred to a sharp decline in nickel ore mining quotas with reductions for large mines exceeding 70%.

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(Article 3(1)e and Article 7 of MAR)

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